monetary policy—a situation in which a central bank's monetary policy is forced to accommodate its government's fiscal stance. In some sense, this has always been the case in India with the Reserve Bank's degrees of freedom in monetary policy curtailed by the government's expansionary fiscal stance.

The Reserve Bank's constant refrain was that it was left to do all the heavy lifting to manage the tension between growth and inflation while the government took the easy way out with its loose fiscal stance. Given this scenario, some analysts would quiz me, in informal discussions, on why the Reserve Bank just does not force the government into fiscal discipline by unilaterally easing on the monetary side. The resultant inflation pressures, the argument went, would force the government to restrain its 'borrow and spend' policy. That would make a good coffee-house argument but is highly impractical and strictly inadvisable in the real world. Public policy simply cannot be made through an adversarial stance.

The only redeeming feature in all of this is that fiscal dominance of monetary policy is neither new nor unique to India. It has a long history going back over seventy years and manifests in many countries and many situations, including in advanced economies. Let me cite some recent examples.

In the thick of the eurozone crisis, the European Central Bank had to stretch its mandate in order to buy treasury bonds of stressed countries to soften their debt pressures—a clear case of subordinating monetary policy to fiscal compulsions. In the United States, the Fed became hostage to the fiscal stance of the government when in the autumn of 2013, it was forced to defer the much-publicized taper of quantitative easing in view of the political impasse over debt sequestration. The tussle was even sharper and more public in Japan when Prime Minister Abe tried to push the Bank of Japan into quantitative easing, overruling Governor Masaaki Shirakawa's argument that monetary easing without support from fiscal consolidation would be ineffective, if also risky.